



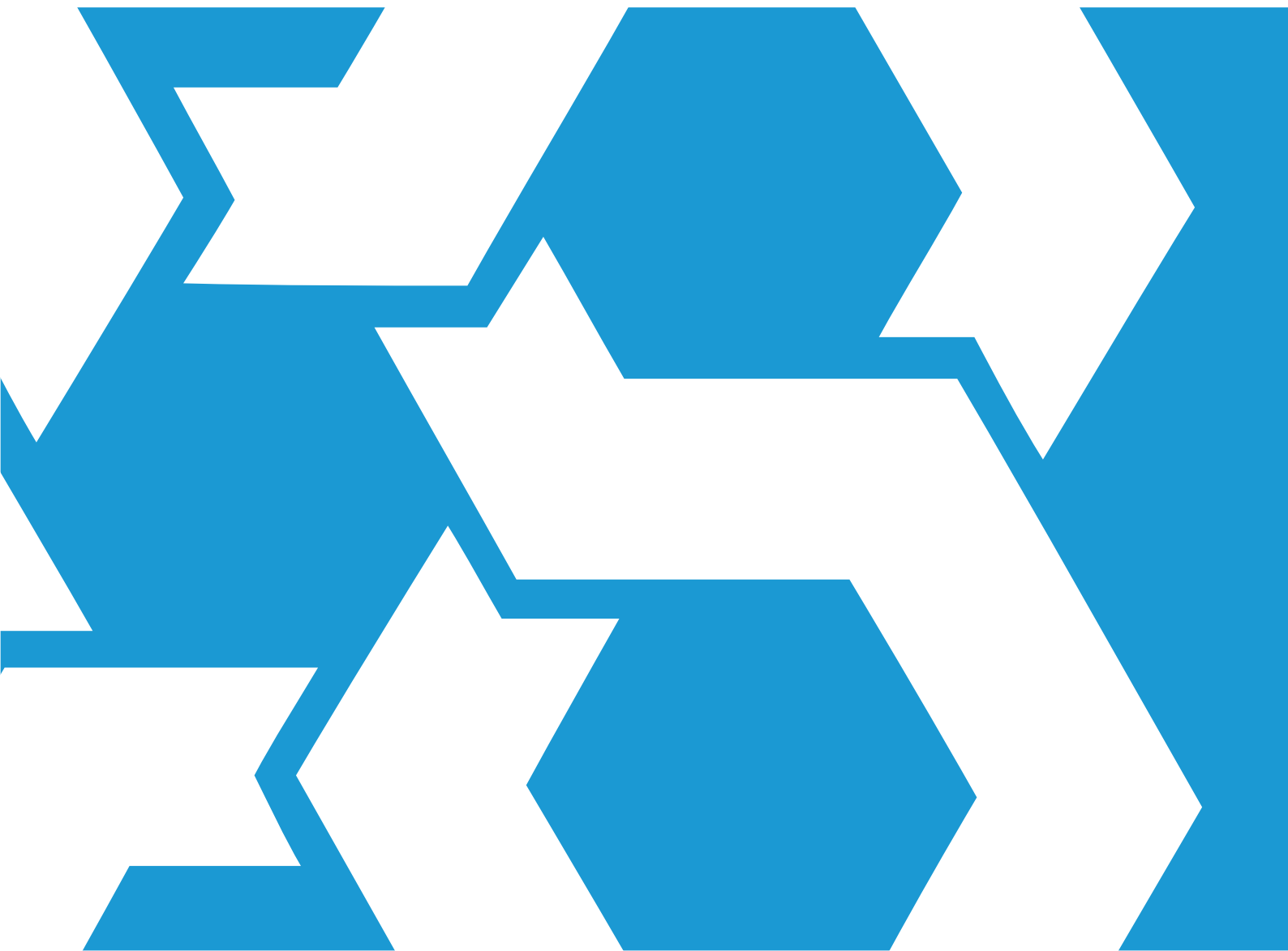
IFRS[®]
Sustainability

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IFRS S2

IFRS[®] Sustainability Disclosure Standard

Industry-based Guidance on implementing Climate-related Disclosures



International Sustainability Standards Board

**Industry-based Guidance
on implementing
Climate-related Disclosures**

This Industry-based Guidance accompanies IFRS S2 *Climate related Disclosures* (published June 2023; see separate booklet) and is issued by the International Sustainability Standards Board (ISSB).

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Introduction

This volume is part of the Industry-based Guidance on Implementing IFRS S2 Climate-related Disclosures. This guidance suggests possible ways to apply some of the disclosure requirements in IFRS S2 but does not create additional requirements.

This volume suggests possible ways to identify, measure and disclose information about climate-related risks and opportunities that are associated with particular business models, economic activities and other common features that characterise participation in this industry.

This industry-based guidance has been derived from Sustainability Accounting Standards Board (SASB) Standards, which are maintained by the International Sustainability Standards Board (ISSB). The metric codes used in SASB Standards have been included for ease of reference. For additional context regarding the industry-based guidance contained in this volume, including structure and terminology, application and illustrative examples, refer to Section III of the Accompanying Guidance to IFRS S2.

- 1.2 The scope of disclosure includes the activities and investments by the entity required to achieve the plans and any risks or limiting factors that might affect achievement of the plans or targets.
- 2 The entity shall discuss demand for specific products, services and technologies that offer well and field operators reduced water consumption, water recycling or other water impact reductions, and its ability to meet this demand.
- 3 The entity shall discuss its short- and long-term plans related to water management, where:
 - 3.1 Short-term strategies may include adopting best practices in water recycling or water efficiency initiatives.
 - 3.2 Long-term strategies may include process redesigns or technological innovations that reduce fresh water withdrawal in water constrained regions, reduce excess water production from wells, and provide water treatment or recycling systems.
- 4 The scope of impact reductions may relate to the following specific areas of water consumption or disposal:
 - 4.1 Hydraulic fracturing fluids
 - 4.2 Drilling fluids
 - 4.3 Dust control
 - 4.4 Cement production
 - 4.5 Produced water or flowback
- 5 The entity shall discuss risks and opportunities relating to: being able to offer customers services, technologies or solutions that enhance water use efficiency, treatment and reuse, and reduce water consumption or wastewater production.

Volume 15—Asset Management & Custody Activities

Industry Description

Asset Management & Custody Activities industry entities manage investment portfolios on a commission or fee basis for institutional, retail and high net-worth investors. In addition, entities in this industry provide wealth management, private banking, financial planning, and investment advisory and retail securities brokerage services. Investment portfolios and strategies may be diversified across multiple asset classes, which may include equities, fixed income and hedge fund investments. Specific entities are engaged in venture capital and private equity investments. The industry provides essential services to a range of customers from individual retail investors to large, institutional asset owners to meet specified investment goals. Entities in the industry range from large multi-jurisdictional asset managers with a wide range of investable products, strategies and asset classes to small boutique entities providing services to specific market niches. While large entities generally compete based on management fees charged for their services as well as their potential to generate superior investment performance, the smaller entities generally compete on their ability to provide products and services customised to satisfy the diversification needs of individual clients. The global 2008 financial crisis and subsequent regulatory regime developments highlight the industry's importance in providing fair advice to customers and managing risks at the entity, portfolio and macroeconomic levels.

Sustainability Disclosure Topics & Metrics

Table 1. Sustainability Disclosure Topics & Metrics

TOPIC	METRIC	CATEGORY	UNIT OF MEASURE	CODE
Incorporation of Environmental, Social, and Governance Factors in Investment Management & Advisory	Amount of assets under management, by asset class, that employ (1) integration of environmental, social, and governance (ESG) issues, (2) sustainability themed investing and (3) screening	Quantitative	Presentation currency	FN-AC-410a.1
	Description of approach to incorporation of environmental, social and governance (ESG) factors in investment or wealth management processes and strategies	Discussion and Analysis	n/a	FN-AC-410a.2
	Description of proxy voting and investee engagement policies and procedures	Discussion and Analysis	n/a	FN-AC-410a.3

Table 2. Activity Metrics

ACTIVITY METRIC	CATEGORY	UNIT OF MEASURE	CODE
Total assets under management (AUM)	Quantitative	Presentation currency	FN-AC-000.A
Total assets under custody and supervision	Quantitative	Presentation currency	FN-AC-000.B

Incorporation of Environmental, Social, and Governance Factors in Investment Management & Advisory

Topic Summary

Asset Management & Custody Activities entities maintain a fiduciary responsibility to their clients. These entities must consider and incorporate an analysis of all material information into investment decisions, including environmental, social and governance (ESG) factors. The process of ESG investment involves consideration of ESG factors in valuation, modelling, portfolio construction, proxy voting and engagement with investees and, as a result, in investment decision-making by asset and wealth managers. As the management and use of non-financial forms of capital increasingly contribute to market value, incorporation of ESG factors in the analysis of investees has become more relevant. Research has established that an entity's management of some ESG factors may impact materially both its accounting and market returns. Therefore, deep understanding of investees' ESG performance, integration of ESG factors in valuation and modelling, as well as engagement with investees on sustainability issues allows asset managers to generate superior returns. On the other hand, asset management and custody activities industry entities that fail to consider these risks and opportunities in their investment management activities may witness diminished investment portfolio returns that may result in reduced performance fees. Over the long term, these failures could result in an outflow of assets under management (AUM), the loss of market share and lower management fees.

Metrics

FN-AC-410a.1. Amount of assets under management, by asset class, that employ (1) integration of environmental, social, and governance (ESG) issues, (2) sustainability themed investing and (3) screening

- 1 The entity shall disclose the amount of assets under management (AUM) that employ (1) integration of environmental, social and governance (ESG) issues, (2) sustainability themed investing, and (3) screening.
 - 1.1 AUM shall be defined broadly as the total market value, expressed in the entity's presentation currency, of the assets managed by a financial institution on behalf of clients.
 - 1.2 Integration of ESG issues is defined as the systematic and explicit inclusion of material ESG factors into investment analysis and investment decisions, as aligned with the *PRI Reporting Framework – Main definitions 2018*.
 - 1.3 Sustainability themed investing is defined as investment in themes or assets specifically related to sustainability (for example, clean energy, green technology or sustainable agriculture), as aligned with the *PRI Reporting Framework—Main definitions 2018*.
 - 1.4 Screening, including (a) negative/exclusionary, (b) positive/best-in-class and (c) norms-based, is defined by the *PRI Reporting Framework—Main definitions 2018*.
 - 1.5 The scope of disclosure includes both passive and active strategies.

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- 2 The entity shall disaggregate its disclosure by asset class: (a) equities, (b) fixed income, (c) cash equivalents/money market instruments and (d) other (for example, real estate and commodities).
- 3 The entity shall identify and disclose the amount of any AUM managed using more than one ESG integration strategy (for example, screening and integration).

FN-AC-410a.2. Description of approach to incorporation of environmental, social and governance (ESG) factors in investment or wealth management processes and strategies

- 1 The entity shall describe its approach to the incorporation of environmental, social and governance (ESG) factors in its investment or wealth management processes and strategies.
 - 1.1 The definition of incorporation of ESG factors is aligned with that of the Global Sustainable Investment Alliance (GSIA) and includes the use of ESG information in investment decision-making processes.
 - 1.2 Examples of ESG factors and issues are provided in the *PRI Reporting Framework—Main definitions 2018*, section 'ESG issues'.
 - 1.3 Incorporation of ESG factors includes the following approaches, consistent with the *PRI Reporting Framework—Main definitions 2018*:
 - 1.3.1 Screening, including (a) negative/exclusionary, (b) positive/best-in-class and (c) norms-based
 - 1.3.2 Sustainability themed investment, defined as investment in themes or assets specifically related to sustainability (for example, clean energy, green technology or sustainable agriculture)
 - 1.3.3 Integration of ESG, defined as the systematic and explicit inclusion of material ESG factors into investment analysis and investment decisions
 - 1.3.4 A combination of the above
- 2 The entity shall describe the policies that determine its approach to the incorporation of ESG factors in its investment or wealth management processes and strategies.
- 3 The scope of disclosure shall exclude discussion of the entity's proxy voting and investee engagement policies and procedures, which is included in metric FN-AC-410a.3, 'Description of proxy voting and investee engagement policies and procedures'.
- 4 The entity shall describe its approach to implementation of the aspects of the entity's ESG incorporation practices.
 - 4.1 The discussion shall include, but is not limited to:
 - 4.1.1 Parties responsible for the day-to-day incorporation of ESG factors
 - 4.1.2 Roles and responsibilities of employees involved
 - 4.1.3 Approach to conducting ESG-related research

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4.1.4 Approach to incorporating ESG factors into investment strategies

- 5 The entity shall describe its oversight/accountability approach to the incorporation of ESG factors.
 - 5.1 The discussion shall include:
 - 5.1.1 Formal oversight individuals or bodies involved
 - 5.1.2 Roles and responsibilities of employees involved
 - 5.1.3 Criteria used in assessing the quality of ESG incorporation
- 6 The entity shall discuss whether it conducts scenario analysis or modelling in which the risk profile of future ESG trends is calculated at the portfolio level.
 - 6.1 ESG trends may include climate change, natural resource constraints, human capital risks and opportunities, and cybersecurity risks.
 - 6.2 The entity shall describe the types of portfolios or strategies in which it executes scenario analysis or modelling.
 - 6.2.1 The entity is not required to provide such disclosure at the individual portfolio or strategy level.
- 7 The entity shall discuss ESG trends it considers apply broadly in terms of their effect on sectors and industries, as well as the trends it deems as sector- or industry-specific.
- 8 The entity shall describe whether it incorporates ESG factors in strategic asset allocation or allocation of assets between sectors or geographical markets.
 - 8.1 The entity shall describe the types of portfolios or strategies in which it incorporates ESG factors in strategic asset allocation or allocation of assets between sectors or geographical markets.
 - 8.1.1 The entity is not required to provide such disclosure at the individual portfolio or strategy level.
- 9 The entity shall describe how ESG factors are incorporated in the assessment of and how it influences the entity's views on:
 - 9.1 Time horizon of investments
 - 9.2 Risk and return profiles of investments
 - 9.3 Traditional fundamental factors such as economic conditions, central bank policy, industry trends and geopolitical risks
- 10 When relevant, the entity shall discuss its approach to incorporation of ESG factors in selecting external fund managers and fiduciary managers.
 - 10.1 The entity shall describe its oversight/accountability approach to assessing the quality of incorporation of ESG factors by external fund managers and fiduciary managers, which may include:
 - 10.1.1 Formal oversight individuals or bodies involved
 - 10.1.2 Roles and responsibilities of employees involved

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10.1.3 Criteria used in assessing the quality of ESG incorporation

- 11 The scope of disclosure shall include investment or wealth management services in which the entity maintains decision-making power, regardless of strategy and asset class.
- 12 The scope of disclosure shall exclude execution or advisory services in which investment decision-making power remains with clients.
- 13 When relevant, the description of the entity's approach to incorporation of ESG factors in its investment or wealth management activities shall be broken down by asset class or by style employed.
 - 13.1 The discussion shall include the differences in the entity's approaches to incorporation of ESG factors in:
 - 13.1.1 Public equity, fixed income, private equity or alternative asset classes
 - 13.1.2 Passive versus active investment strategies
 - 13.1.3 Fundamental, quantitative and technical analyses of investments

FN-AC-410a.3. Description of proxy voting and investee engagement policies and procedures

- 1 The entity shall describe its approach to proxy voting, which may include its process for making proxy voting decisions, including its approach to defining materiality.
 - 1.1 The discussion shall include, but is not limited to, elements highlighted in *PRI Reporting Framework 2019 Direct—Listed Equity Active Ownership*:
 - 1.1.1 The scope of the entity's voting activities
 - 1.1.2 The objectives of the entity's voting activities
 - 1.1.3 How, if at all, the entity's voting approach differs among markets
 - 1.1.4 Whether the entity has a default position of voting in favour of management in particular markets or on particular issues
 - 1.1.5 Whether and how local regulatory or other requirements influence the entity's approach to voting
 - 1.1.6 Whether the entity votes by proxy or in person by attending annual general meetings (AGMs) (or a combination of both)
 - 1.2 The entity shall describe its approach to determining support for proposals, including its approach to defining materiality.
 - 1.2.1 The scope of disclosure includes proposals addressing environmental and social (ES) issues.
 - 1.3 The entity shall describe how it communicates its proxy voting policy to clients and to the public.
 - 1.3.1 The entity may provide the link to its formal proxy voting policy.

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- 2 The entity shall describe its process of making proxy voting decisions.
 - 2.1 The discussion shall include the elements highlighted in *PRI Reporting Framework 2019 Direct—Listed Equity Active Ownership*, which include:
 - 2.1.1 Use of internal research team or third-party service providers
 - 2.1.2 Review and monitoring process for service provider recommendations
- 3 The entity shall describe its approach to communicating voting decisions to entity management, including the rationale for voting for/against management's recommendations.
- 4 The entity shall describe its approach to engagement on ES issues.
 - 4.1 The discussion shall include:
 - 4.1.1 The entity's objectives for undertaking engagement activities
 - 4.1.2 Whether the entity's engagements related to ES issues are primarily proactive to ensure that ES issues are well-managed in a preventive manner or reactive to address issues that may have already occurred
 - 4.1.3 The outcomes the entity seeks from engaging with entities on ES issues (for example, influencing corporate practice; improving the quality of ES disclosure)
 - 4.1.4 The entity's staff that carries out the engagement (for example, specialised in-house engagement teams, fund managers or equity/credit analysts, more senior-level roles)
 - 4.1.5 The roles of individuals at the portfolio entities the entity seeks to engage with (for example, board members, board chair, CEO, corporate secretary, investor relations managers)
 - 4.2 The entity shall describe how it communicates its engagement policy to clients and to the public.
 - 4.2.1 The entity may provide the link to its formal engagement policy.
 - 4.3 The scope of disclosure includes all asset classes, portfolios or strategies in which the entity engages on ES issues.
- 5 The entity shall describe how the outcomes of its proxy voting and engagement activities inform its investment decision-making process.
 - 5.1 The discussion shall include:
 - 5.1.1 How the entity decides what information to pass on to investment decision-makers
 - 5.1.2 How the entity monitors the use of the information passed on in investment decision-making
- 6 The entity shall describe its escalation process for engagements when entity dialogue is failing.

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- 6.1 The escalation process may include tactics highlighted in the *International Corporate Governance Network (ICGN) Global Stewardship Principles*:
 - 6.1.1 Expressing concerns to corporate representatives or non-executive directors, either directly or in a shareholder meeting
 - 6.1.2 Expressing the entity's concerns collectively with other investors
 - 6.1.3 Making a public statement
 - 6.1.4 Submitting shareholder resolutions
 - 6.1.5 Speaking at general meetings
 - 6.1.6 Submitting one or more nominations for election to the board as appropriate and convening a shareholder meeting
 - 6.1.7 Seeking governance improvements or damages through legal remedies or arbitration
 - 6.1.8 Exit or threat to exit from the investment
- 7 The entity shall describe how its ES engagement strategy fits into its overall engagement strategy.
- 8 The entity may disclose additional quantitative measures related to its proxy voting and engagement activities, such as:
 - 8.1 Number of engagements and percentage of those in-person
 - 8.2 Number of staff involved in proxy voting and engagement activities

Volume 16—Commercial Banks

Industry Description

Commercial banks accept deposits and make loans to individuals and corporations, and engage in lending to infrastructure, real estate and other projects. By providing these services, the industry serves an essential role in the functioning of global economies and in facilitating the transfer of financial resources to their most productive capacity. The industry is driven by the volume of deposits, quality of loans made, the economic environment and interest rates. The risk from mismatched assets and liabilities further characterises the industry. The regulatory environment governing the commercial banking industry witnessed significant changes in the wake of the 2008 global financial crisis and continues to evolve today. These and other regulatory trends may affect performance. Commercial banks with global operations must manage new regulations in many jurisdictions that are creating regulatory uncertainty, particularly regarding the consistent application of new rules.

Note: This standard addresses ‘pure play’ commercial banking services, which may not include all the activities of integrated financial institutions, such as investment banking and brokerage services, mortgage finance, consumer finance, asset management and custody services, and insurance. Separate standards address the sustainability issues for activities in those industries.

Sustainability Disclosure Topics & Metrics

Table 1. Sustainability Disclosure Topics & Metrics

TOPIC	METRIC	CATEGORY	UNIT OF MEASURE	CODE
Incorporation of Environmental, Social, and Governance Factors in Credit Analysis	Description of approach to incorporation of environmental, social and governance (ESG) factors in credit analysis	Discussion and Analysis	n/a	FN-CB-410a.2

Table 2. Activity Metrics

ACTIVITY METRIC	CATEGORY	UNIT OF MEASURE	CODE
(1) Number and (2) value of checking and savings accounts by segment: (a) personal and (b) small business	Quantitative	Number, Presentation currency	FN-CB-000.A
(1) Number and (2) value of loans by segment: (a) personal, (b) small business, and (c) corporate ¹⁸	Quantitative	Number, Presentation currency	FN-CB-000.B

¹⁸ Note to FN-CB-000.B – Mortgage loans as well as revolving credit loans shall be excluded from the scope of disclosure.

Incorporation of Environmental, Social, and Governance Factors in Credit Analysis

Topic Summary

As financial intermediaries, commercial banks contribute to significant positive and negative environmental and social externalities through their lending practices. Environmental, social and governance (ESG) factors can have material implications for the underlying entities, assets and projects to which commercial banks lend across a range of industries. Therefore, entities increasingly must examine ESG factors when determining the quality of collateral. Commercial banks also may enable positive environmental and social externalities to generate significant revenue streams through their lending practices. Commercial banks that fail to address these risks and opportunities could face diminished returns and reduced value for shareholders. Commercial banks should subsequently disclose how ESG factors are integrated into lending processes and the current level of portfolio risk associated with specific sustainability trends. Specifically, investor and regulatory pressure is mounting for banks to disclose how they address climate change related risks.

Metrics

FN-CB-410a.2. Description of approach to incorporation of environmental, social and governance (ESG) factors in credit analysis

- 1 The entity shall describe its approach to the incorporation of environmental, social and governance (ESG) factors in its credit analysis.
 - 1.1 The definition of incorporation of ESG factors is aligned with that of the Global Sustainable Investment Alliance (GSIA) and includes the use of ESG information in the investment decision-making processes.
 - 1.2 Examples of ESG factors and issues are provided in the *PRI Reporting Framework—Main definitions 2018*, section 'ESG issues'.
 - 1.3 Credit analysis is defined as a method to calculate the creditworthiness of a business or organisation to honour debt obligations. This method seeks to identify the appropriate level of default risk associated with financing such business, organisation or project.
- 2 The scope of disclosure shall include commercial and industrial lending as well as project finance.
- 3 The entity shall describe the policies that determine its approach to the incorporation of ESG factors in its credit analysis.
- 4 The entity shall discuss how it incorporates ESG factors when estimating credit losses over the contractual term of the entity's financial assets.
- 5 The entity shall describe its approach to implementation of the aspects of the entity's ESG incorporation practices.
 - 5.1 The description shall include:
 - 5.1.1 Parties responsible for the day-to-day incorporation of ESG factors
 - 5.1.2 Roles and responsibilities of employees involved

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- 5.1.3 Approach to ESG-related research
- 5.1.4 Approach to incorporating ESG factors into assessing creditworthiness of borrowers
- 6 The entity shall describe its oversight and accountability approach to the incorporation of ESG factors.
 - 6.1 The description shall include:
 - 6.1.1 Formal oversight individuals or bodies involved
 - 6.1.2 Roles and responsibilities of employees involved
 - 6.1.3 Criteria used in assessing the quality of ESG incorporation
- 7 The entity shall discuss whether it conducts scenario analysis or modelling in which the risk profile of future ESG trends is calculated at the portfolio level of commercial and industrial credit exposure.
 - 7.1 ESG trends may include climate change, natural resource constraints, human capital risks and opportunities, and cybersecurity risks.
- 8 The entity shall discuss ESG trends it considers apply broadly in terms of their effect on sectors and industries, as well as the trends it deems as sector- or industry-specific.
 - 8.1 The entity may further provide the discussion in the context of geographical exposure of its commercial and industrial credit portfolio.
- 9 The entity shall describe significant concentrations of credit exposure to ESG factors, which may include carbon-related assets, water-stressed regions and cybersecurity risks.
- 10 The entity shall describe how ESG factors are incorporated in the assessment of and influence the entity's views on:
 - 10.1 Traditional macroeconomic factors such as the economic conditions, central bank monetary policy, industry trends, and geopolitical risks that affect creditworthiness of borrowers
 - 10.2 Traditional microeconomic factors such as supply and demand for products or services that affect financial conditions and operational results of borrowers as well as their creditworthiness
 - 10.3 Overall creditworthiness of a borrower
 - 10.4 Maturity or tenor of a loan
 - 10.5 Expected loss, including probability of default, exposure at default and loss given default
 - 10.6 Value of posted collateral
- 11 The entity may disclose additional quantitative measures related to its approach to the incorporation of ESG factors in credit analysis, such as:
 - 11.1 Number of commercial and industrial loans and project finance screened according to the Equator Principles (EP III) (or equivalent) by EP Category

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- 11.2 Number of loans for which a review of environmental or social risks was performed, for example, by the entity's Environmental and Social Risk Management (ESRM) group

Volume 17—Insurance

Industry Description

The Insurance industry provides both traditional and non-traditional insurance-related products. Traditional policy lines include property, life, casualty and reinsurance. Non-traditional products include annuities, alternative risk transfers and financial guarantees. Entities in the insurance industry also engage in proprietary investments. Insurance entities generally operate within a single segment in the industry, for example, property and casualty, although some large insurance entities have diversified operations. Similarly, entities may vary based on the level of their geographical segmentation. Whereas large entities may underwrite insurance premiums in many countries, smaller entities generally operate in a single country or jurisdiction. Insurance premiums, underwriting revenue and investment income drive industry growth, while insurance claim payments present the most significant cost and source of uncertainty for profits. Insurance entities provide products and services that enable the transfer, pooling and sharing of risk necessary for a well-functioning economy. Insurance entities, through their products, can also create a form of moral hazard, reducing incentives to improve underlying behaviour and performance, and thus contributing to sustainability-related impacts. Like other financial institutions, insurance entities face risks associated with credit and financial markets. Within the industry, regulators have identified entities that engage in non-traditional or non-insurance activities, including credit default swaps (CDS) protection and debt securities insurance, as being more vulnerable to financial market developments, and therefore more likely to amplify or contribute to systemic risk. As a result, some insurance entities may be designated as Systemically Important Financial Institutions, thus exposing them to increased regulation and oversight.

Note: Topics and metrics regarding sustainability issues associated with the provision of health insurance are outlined in the Managed Care (HC-MC) industry.

Sustainability Disclosure Topics & Metrics

Table 1. Sustainability Disclosure Topics & Metrics

TOPIC	METRIC	CATEGORY	UNIT OF MEASURE	CODE
Incorporation of Environmental, Social and Governance Factors in Investment Management	Description of approach to incorporation of environmental, social and governance (ESG) factors in investment management processes and strategies	Discussion and Analysis	n/a	FN-IN-410a.2
Policies Designed to Incentivise Responsible Behaviour	Net premiums written related to energy efficiency and low carbon technology	Quantitative	Presentation currency	FN-IN-410b.1
	Discussion of products or product features that incentivise health, safety or environmentally responsible actions or behaviours	Discussion and Analysis	n/a	FN-IN-410b.2

continued...

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...continued

TOPIC	METRIC	CATEGORY	UNIT OF MEASURE	CODE
Physical Risk Exposure	Probable Maximum Loss (PML) of insured products from weather-related natural catastrophes ¹⁹	Quantitative	Presentation currency	FN-IN-450a.1
	Total amount of monetary losses attributable to insurance pay-outs from (1) modelled natural catastrophes and (2) non-modelled natural catastrophes, by type of event and geographical segment (net and gross of reinsurance) ²⁰	Quantitative	Presentation currency	FN-IN-450a.2
	Description of approach to incorporation of environmental risks into (1) the underwriting process for individual contracts and (2) the management of entity-level risks and capital adequacy	Discussion and Analysis	n/a	FN-IN-450a.3

Table 2. Activity Metrics

ACTIVITY METRIC	CATEGORY	UNIT OF MEASURE	CODE
Number of policies in force, by segment: (1) property and casualty, (2) life, (3) assumed reinsurance ²¹	Quantitative	Number	FN-IN-000.A

Incorporation of Environmental, Social and Governance Factors in Investment Management

Topic Summary

Insurance entities must invest capital to preserve accumulated premium revenues equivalent to expected policy claim pay-outs and maintain long-term asset-liability parity. Because environmental, social and governance (ESG) factors increasingly have a material impact on the performance of corporations and other assets, insurance entities increasingly must incorporate these factors into their investment management. Failure to address these issues may diminish risk-adjusted portfolio returns and limit an entity's ability to issue claim payments. Entities, therefore, should enhance disclosure on how they incorporate ESG factors, including climate change and natural resource constraints, into the investment of policy premiums and how they affect the portfolio risk.

¹⁹ Note to **FN-IN-450a.1** – The entity shall describe climate-related scenarios used, including the critical input parameters, assumptions and considerations, analytical choices, and time frames, in calculation of the PML.

²⁰ Note to **FN-IN-450a.2** – The entity shall discuss how climate change-related impacts and variability of weather-related losses impact the cost of reinsurance and the entity's approach to transferring risk through reinsurance.

²¹ Note to **FN-IN-000.A** – The entity additionally may disaggregate the number of policies in force by product line.

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Metrics

FN-IN-410a.2. Description of approach to incorporation of environmental, social and governance (ESG) factors in investment management processes and strategies

- 1 The entity shall describe its approach to incorporation of environmental, social and governance (ESG) factors in its investment management processes and strategies.
 - 1.1 The definition of incorporation of ESG factors is aligned with that of the Global Sustainable Investment Alliance (GSIA) and includes the use of ESG information in the investment decision-making processes.
 - 1.2 The *PRI Reporting Framework—Main definitions 2018*, section 'ESG issues', provides examples of ESG factors/issues.
 - 1.3 Incorporation of ESG factors includes the following approaches, consistent with the *PRI Reporting Framework—Main definitions 2018*:
 - 1.3.1 Screening, including a) negative/exclusionary, b) positive/best-in-class and c) norms-based
 - 1.3.2 Sustainability-themed investment, defined as investment in themes or assets specifically related to sustainability (for example, clean energy, green technology or sustainable agriculture)
 - 1.3.3 Integration of ESG, defined as the systematic and explicit inclusion of material ESG factors into investment analysis and investment decisions
 - 1.3.4 A combination of the approaches.
- 2 The entity shall describe regulatory requirements to which it is subject that limit the types of allowable investments the entity may make, as well as the allowable credit and equity risk to which the entity may be exposed.
 - 2.1 The description of the entity's approach to incorporation of ESG factors in its investment management processes and strategies shall be provided in the context of the regulatory environment to which the entity is subject.
- 3 The entity shall describe policies that determine its approach to incorporation of ESG factors in its investment management processes and strategies.
- 4 The entity shall describe how it implements ESG incorporation practices.
 - 4.1 The discussion shall include:
 - 4.1.1 Parties responsible for day-to-day incorporation of ESG factors
 - 4.1.2 Roles and responsibilities of employees involved
 - 4.1.3 Approach to conducting ESG-related research
 - 4.1.4 Approach to incorporating ESG factors into investment strategies
- 5 The entity shall describe its oversight/accountability approach to the incorporation of ESG factors.

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- 5.1 The discussion shall include:
 - 5.1.1 Formal oversight individuals or bodies involved
 - 5.1.2 Roles and responsibilities of employees involved
 - 5.1.3 Criteria used in assessing the quality of ESG incorporation
- 6 The entity shall discuss whether it conducts scenario analysis or modelling in which the risk profile of future ESG factors at the portfolio level is calculated.
 - 6.1 ESG factors may include climate change, natural resource constraints, human capital risks and opportunities, and cybersecurity risks.
- 7 The entity shall discuss ESG factors that it considers apply broadly in terms of their impact on sectors and industries, as well as the factors it deems as sector- or industry-specific.
- 8 The entity shall describe whether it incorporates ESG factors in strategic asset allocation or allocation of assets between sectors or geographical markets.
- 9 The entity shall describe how it incorporates ESG factors into the assessment of and influence the entity's perspectives on:
 - 9.1 Time horizon of investments
 - 9.2 Risk and return profiles of investments
 - 9.3 Traditional fundamental factors such as economic conditions, central bank policy, industry factors, and geopolitical risks
- 10 Where relevant, the entity shall discuss how it incorporates ESG factors in selecting external fund managers and fiduciary managers.
 - 10.1 The entity shall describe its oversight/accountability approach to assessing the quality of the incorporation of ESG factors by external fund managers and fiduciary managers, which includes:
 - 10.1.1 Formal oversight individuals or bodies involved
 - 10.1.2 Roles and responsibilities of employees involved
 - 10.1.3 Criteria used in assessing the quality of ESG incorporation
- 11 Where relevant, the description of the entity's approach to incorporation of ESG factors in its investment management activities shall be disaggregated by asset class or by style employed.
 - 11.1 The discussion shall include, but is not limited to, the differences in the entity's approaches to incorporation of ESG factors in:
 - 11.1.1 Public equity, fixed income, private equity or alternative asset classes
 - 11.1.2 Passive versus active investment strategies
 - 11.1.3 Fundamental, quantitative and technical analyses of investments

Policies Designed to Incentivise Responsible Behaviour

Topic Summary

Advances in technology and the development of new policy products have allowed insurance entities to limit claim payments while encouraging responsible behaviour. The industry is subsequently in a unique position to generate positive social and environmental externalities. Insurance entities can incentivise healthy lifestyles and safe behaviour as well as develop sustainability-related projects and technologies, such as those focused on renewable energy, energy efficiency and carbon capture. As the renewable energy industry continues to grow, insurance entities may seek related growth opportunities by underwriting insurance in this area. Additionally, policy clauses may encourage customers to incorporate environmental, social and governance (ESG) factors to mitigate overall underwriting portfolio risk, which may reduce insurance pay-outs over the long term. Therefore, disclosure on products related to energy efficiency and low carbon technology, as well as discussion of how entities incentivise health, safety or environmentally responsible actions or behaviours, may assist investors in assessing how insurance entities incentivise responsible behaviour.

Metrics

FN-IN-410b.1. Net premiums written related to energy efficiency and low carbon technology

- 1 The entity shall disclose the net premiums written for policies related to energy efficiency and low carbon technology, including renewable energy insurance, energy savings warranties, and carbon capture and storage insurance.
 - 1.1 The disclosure scope includes policies that can be demonstrated to absorb environmental risks, thereby enabling sustainability-related projects, technologies and activities.
 - 1.2 Renewable energy insurance may range from specialised protection against natural hazards or mechanical breakdowns to insurance against fluctuations in the availability of wind or solar radiation.
 - 1.3 Energy savings warranties insure the energy savings guaranteed by Energy Services Entities (ESCOs) for building retrofitting and other energy efficiency projects.
- 2 The disclosure scope shall include policies in which the insurer has priced and identified separately such net premiums in its customer billing.

FN-IN-410b.2. Discussion of products or product features that incentivise health, safety or environmentally responsible actions or behaviours

- 1 The entity shall describe how it incentivises health, safety or environmentally responsible actions or behaviours through incorporation of clauses in the insurance policies sold to clients and through pricing structure of the policies.
 - 1.1 The scope of disclosure includes policies underwritten in the Property & Casualty (P&C) and Life segments and excludes Health Insurance policies.
 - 1.2 The scope of disclosure includes the consumer insurance segment and the commercial insurance segment:

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- 1.2.1 The consumer segment includes homeowners, automotive, supplemental health and accident, and other personal insurance.
 - 1.2.2 The commercial segment includes casualty (for example, liability, workers' compensation), property, specialty (for example, crop, marine, political risk) and financial (for example, errors and omissions, fiduciary liability) insurance.
- 2 Disclosure shall include a description of the aspects of traditional products that incentivise health, safety or environmentally responsible actions or behaviour. Such aspects may include:
 - 2.1 Premium discounts for green buildings
 - 2.2 Premium discounts for improving resource efficiency of properties
 - 2.3 Actuarially adjusted premiums for the use of low-emission vehicles, fuel-efficient non-hybrid vehicles or alternative-fuel vehicles
 - 2.4 Premium discounts for safer driving and lower use of personal vehicles
 - 2.5 Premium discounts for healthy behaviour (healthy diet, routine exercise, weight loss, giving up smoking/drinking).
- 3 The entity may disclose quantitative measures related to performance on underwriting of products with clauses incentivising healthy, safe or environmentally responsible actions or behaviour, such as:
 - 3.1 Number of policies incorporating such clauses
 - 3.2 Amount of premiums generated from the relevant products
 - 3.3 Quantitative measures of the associated social and environmental factors influenced through products (reduction in the amount of car accidents involving policyholders, amount of exercise hours per week, average amount of weight lost by a policyholder).

Physical Risk Exposure

Topic Summary

Catastrophic losses associated with extreme weather events will continue to have a material, adverse effect on the Insurance industry. The extent of this effect may evolve as climate change increases the frequency and severity of both modelled and non-modelled natural catastrophes, including hurricanes, floods and droughts. Failure to appropriately understand environmental risks, and price them into the underwritten insurance products, may result in higher-than-expected claims on policies. Therefore, insurance entities that incorporate climate change considerations into their underwriting process for individual contracts, and well as the management of entity-level risks and capital adequacy, may be better positioned to create value over the long-term. Enhanced disclosure of an entity's approach to incorporating these factors, in addition to quantitative data such as the probable maximum loss and total losses attributable to insurance pay-outs, may provide investors with the information necessary to assess current and future performance on this issue.

Metrics***FN-IN-450a.1. Probable Maximum Loss (PML) of insured products from weather-related natural catastrophes***

- 1 The entity shall disclose the Probable Maximum Loss (PML) of insured products from natural peril catastrophe events.
 - 1.1 PML is defined as the anticipated value of the largest monetary loss affecting the entity's insurance portfolio that could result from weather-related natural catastrophes and is based on catastrophe modelling and exceedance probability (EP).
 - 1.2 The disclosure scope of natural peril catastrophic events includes: hurricanes (typhoons), tornadoes, tsunamis, floods, droughts, extreme heat and winter weather.
- 2 The entity shall disclose the PML using, at a minimum, three likelihood of exceedance scenarios: (1) 2% (1-in-50); (2) 1% (1-in-100); (3) 0.4% (1-in-250).
 - 2.1 The entity may disclose additional likelihood of exceedance scenarios.
- 3 The entity shall disaggregate the PML by geographical location.
- 4 The entity shall report the PML amount on gross and net of catastrophe reinsurance bases.
 - 4.1 The gross PML is the gross probable maximum loss for natural peril catastrophic events (prior to reinsurance) for annual aggregate exposure to all risks, including reinstatement premiums for the year following the relevant year based upon the entity's catastrophe model.
 - 4.2 The net PML is the net probable maximum loss for natural peril catastrophic events (after reinsurance) for annual aggregate exposure to all risks, including reinstatement premiums for the year following the relevant year based upon the entity's catastrophe model.
- 5 Disclosure shall be provided for relevant geographical regions.
- 6 The entity may summarise the disaggregation of the PML in the following tables:

Table 3. Gross PML

	1-IN-50	1-IN-100	1-IN-250
Hurricanes (Typhoons)			
Tornadoes			
Tsunamis			
Floods			
Droughts			
Extreme Heat			
Winter Weather			

Table 4. Net PML

	1-IN-50	1-IN-100	1-IN-250
Hurricanes (Typhoons)			
Tornadoes			
Tsunamis			
Floods			
Droughts			
Extreme Heat			
Winter Weather			

Note to FN-IN-450a.1

- The entity shall describe climate-related scenarios used, including the critical input parameters, assumptions and considerations, analytical choices, and time frames, in calculation of the PML, as aligned with the *Task Force on Climate-related Financial Disclosures (TCFD) Supplemental Guidance for Insurance Companies*.

FN-IN-450a.2. Total amount of monetary losses attributable to insurance pay-outs from (1) modelled natural catastrophes and (2) non-modelled natural catastrophes, by type of event and geographical segment (net and gross of reinsurance)

- The entity shall disclose the amount of policyholder benefits paid and claims incurred during the reporting period resulting from policy losses and benefits expenses related to modelled and non-modelled natural peril catastrophe events.
 - The disclosure scope of natural peril catastrophic events includes: hurricanes (typhoons), tornadoes, tsunamis, floods, droughts, extreme heat and winter weather.
- Benefits and claims incurred shall be disclosed in accordance with IFRS 17 *Insurance Contracts*.
- The entity shall disaggregate policy losses and benefits expenses for modelled and non-modelled natural peril catastrophe events.
 - Modelled natural catastrophes are typically large-scale events, such as hurricanes and earthquakes, that the entity has analysed using a catastrophic risk model.
 - Non-modelled events are typically smaller-scale events, such as floods, droughts, snowstorms and tornadoes, that the entity has not analysed using a catastrophic model (CAT model).
 - CAT models are probabilistic mathematical models that simulate hazardous events and estimate the associated potential damages and insured losses. They may be conducted by the entity or by a third party on behalf of the entity.
- The entity shall disaggregate policy losses and benefits expenses by geographical segment.

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- 5 The entity shall disaggregate policy losses and benefits expenses by natural peril catastrophic events.
 - 5.1 Where relevant, natural peril catastrophic events include: hurricanes (typhoons), tornadoes, tsunamis, floods, droughts, extreme heat and winter weather.
- 6 The entity shall report the policy losses and benefits expenses on a gross and net of catastrophe reinsurance base.
 - 6.1 The net amount shall be calculated as the gross amount of policy losses and benefits expenses from natural peril catastrophe events minus the recoverables from ceded reinsurance.
- 7 The entity shall consider IFRS 17 *Insurance Contracts* a normative reference, thus any future updates made to it shall be considered updates to this guidance.

Note to FN-IN-450a.2

- 1 The entity shall discuss its strategy around enhancing catastrophe modelling.
- 2 The entity shall discuss how climate change-related impacts and variability of weather-related losses effect the cost of reinsurance and the entity's approach to transferring risk through reinsurance.

FN-IN-450a.3. Description of approach to incorporation of environmental risks into (1) the underwriting process for individual contracts and (2) the management of entity-level risks and capital adequacy

- 1 The entity shall describe its approach to incorporation of environmental risks into both individual policyholder contracts and entity-wide assessments of risk.
- 2 The entity shall describe the processes for identifying and assessing climate-related risks on insurance and reinsurance portfolios by geography, business division or product segments.
 - 2.1 Climate-related risks are defined by the Task Force on Climate-related Financial Disclosures (TCFD) as:
 - 2.1.1 Physical risks from changing frequencies and intensities of weather-related perils
 - 2.1.2 Transition risks resulting from a reduction in insurable interest because of a decline in value, changing energy costs or implementation of carbon regulation
 - 2.1.3 Liability risks that could intensify due to a possible increase in litigation
- 3 The entity shall describe what it considers to be the relevant short-, medium- and long-term horizons in the context of the underwriting process for individual contracts as well as the management of entity-level risks and capital adequacy.
- 4 The entity shall describe specific climate-related risks for each time horizon (short, medium and long term) that the entity considers in the underwriting process for individual contracts as well as in the management of entity-level risks and capital adequacy.

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- 5 The entity shall describe the process for integration of climate-related risks in probabilistic mathematical models (catastrophic models).
 - 5.1 Discussion shall include:
 - 5.1.1 The use of new and emerging datasets (for example, for dam burst risk)
 - 5.1.2 The use of the critical input parameters, assumptions and considerations, and analytical choices
 - 5.2 Discussion shall be provided in the context of the relevant short-, medium- and long-term horizons.
- 6 The entity shall describe how outputs of catastrophe models inform its underwriting decisions.
 - 6.1 Discussion shall include:
 - 6.1.1 Development of insurance and reinsurance products which account for climate-related risks
 - 6.1.2 Pricing of insurance and reinsurance policies
 - 6.1.3 Client selection (for example, the type of events the entity chooses to cover or not, or geographical markets in which the entity chooses not to underwrite policies)
 - 6.1.4 Cedent selection (for example, decisions on the amount of risk the entity chooses to transfer through reinsurance).
 - 6.2 Discussion shall be provided in the context of the relevant short-, medium- and long-term horizons.
- 7 The entity shall describe the process for incorporation of clauses in the insurance policies sold to clients that incentivise reduction of exposure to climate-related risks of insured assets through pricing structure of the policies.
 - 7.1 Discussion shall include incentives such as:
 - 7.1.1 The use of sustainable building materials
 - 7.1.2 Enhancement of the weather resiliency of properties
 - 7.1.3 Coverage of properties in communities with building codes requiring climate-risk adaptations
- 8 The entity shall discuss the process for integration of environmental risks into entity-wide assessments.
 - 8.1 Discussion shall include:
 - 8.1.1 Consideration of risks by segment (for example, life versus property and casualty)
 - 8.1.2 Capital adequacy
 - 8.1.3 Contingency planning for market failure (from many disaster-related claims)

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- 8.1.4 Use of alternative risk transfer (for example, catastrophe bonds, weather derivatives).
 - 8.2 Discussion shall be provided in the context of the relevant short-, medium- and long-term horizons.
- 9 The entity may discuss how sustainability risks are integrated into its use of an enterprise risk management (ERM) framework, such as the Committee of Sponsoring Organisations of the Treadway Commission (COSO) Enterprise Risk Management–Integrated Framework.

Volume 18—Investment Banking & Brokerage

Industry Description

Investment Banking & Brokerage industry entities perform a wide range of functions in the capital markets, including raising and allocating capital and providing market-making and advisory services for corporations, financial institutions, governments and high net-worth individuals. Specific activities include financial advisory and securities underwriting services conducted on a fee basis; securities and commodities brokerage activities, which involve buying and selling securities or commodities contracts and options on a commission or fee basis; and trading and principal investment activities, which involve the buying and selling of equities, fixed income, currencies, commodities and other securities for client-driven and proprietary trading. Investment banks also originate and securitise loans for infrastructure and other projects. Entities in the industry generate revenues from global markets and, therefore, are exposed to various regulatory regimes. The industry continues to face regulatory pressure to reform and disclose aspects of operations that present systemic risks. Specifically, entities are facing new capital requirements, stress testing, limits on proprietary trading and increased scrutiny over compensation practices.

Note: This standard addresses 'pure play' investment banking and brokerage services. Separate standards exist for the Mortgage Finance (FN-MF), Commercial Banking (FN-CB), Consumer Finance (FN-CF), Asset Management & Custody Services (FN-AM), and Insurance (FN-IN) industries.

Sustainability Disclosure Topics & Metrics

Table 1. Sustainability Disclosure Topics & Metrics

TOPIC	METRIC	CATEGORY	UNIT OF MEASURE	CODE
Incorporation of Environmental, Social, and Governance Factors in Investment Banking & Brokerage Activities	Revenue from (1) underwriting, (2) advisory and (3) securitisation transactions incorporating integration of environmental, social and governance (ESG) factors, by industry	Quantitative	Presentation currency	FN-IB-410a.1
	(1) Number and (2) total value of investments and loans incorporating integration of environmental, social and governance (ESG) factors, by industry	Quantitative	Number, Presentation currency	FN-IB-410a.2
	Description of approach to incorporation of environmental, social and governance (ESG) factors in investment banking and brokerage activities	Discussion and Analysis	n/a	FN-IB-410a.3

Table 2. Activity Metrics

ACTIVITY METRIC	CATEGORY	UNIT OF MEASURE	CODE
(1) Number and (2) value of (a) underwriting, (b) advisory, and (c) securitisation transactions ²²	Quantitative	Number, Presentation currency	FN-IB-000.A
(1) Number and (2) value of proprietary investments and loans by sector ²³	Quantitative	Number, Presentation currency	FN-IB-000.B
(1) Number and (2) value of market making transactions in (a) fixed income, (b) equity, (c) currency, (d) derivatives, and (e) commodity products	Quantitative	Number, Presentation currency	FN-IB-000.C

Incorporation of Environmental, Social, and Governance Factors in Investment Banking & Brokerage Activities

Topic Summary

Environmental, social and governance (ESG) factors may have material impacts on the entities assets and projects across a range of industries to which investment banks provide services or in which they invest. Therefore, by accounting for these factors in underwriting, advisory, investing and lending activities, investment banks may manage significant positive and negative environmental and social externalities effectively. The potential for both value creation and loss associated with ESG factors suggests that investment banking and brokerage entities have a responsibility to shareholders and clients to consider these factors when analysing and valuing core products, including sell-side research, advisory services, origination, underwriting and principal transactions. Investment banking and brokerage entities that fail to manage these risks and opportunities effectively may expose themselves to increased reputational and financial risks. Appropriately pricing ESG risks may reduce investment banks' financial risk exposure, help generate additional revenue or open new market opportunities. To help investors better understand how entities in the industry manage these issues, investment banks should disclose how they incorporate ESG factors in their core products and services.

Metrics

FN-IB-410a.1. Revenue from (1) underwriting, (2) advisory and (3) securitisation transactions incorporating integration of environmental, social and governance (ESG) factors, by industry

- 1 The entity shall report the total revenue earned from transactions in which the entity incorporates integration of environmental, social and governance (ESG) factors.

²² Note to FN-IB-000.A – For syndicate transactions, the entity shall include only the value for which it was accountable.

²³ Note to FN-IB-000.B – The entity shall use the Global Industry Classification Standard (GICS) for classifying investees and borrowers.

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- 1.1 Integration of ESG factors is defined as the systematic and explicit inclusion of material ESG factors into underwriting, advisory and securitisation activities and may include review of transactions by the entity's Environmental and Social Risk Management (ESRM) group or screening (exclusionary, inclusionary or benchmarked).
 - 1.1.1 The entity shall describe how ESG factors are integrated in the aforementioned activities.
- 2 The entity shall disaggregate the revenue from transactions by important business activities including (a) underwriting, (b) advisory and (c) securitisation.
 - 2.1 Underwriting is defined as activities in which the entity raises investment capital from investors on behalf of corporations and governments that are issuing either equity or debt securities. It includes public offerings and private placements, including local and cross-border transactions and acquisition financing of a wide range of securities and other financial instruments, including loans. Underwriting also includes derivative transactions entered into with public and private sector clients in connection with the entity's underwriting activities.
 - 2.2 Advisory is defined as activities in which the entity provides financial advice to institutional clients on a fee basis. It excludes wealth management and asset management activities.
 - 2.3 Securitisation is defined as the process through which the entity creates a financial instrument by combining other financial assets and then marketing different tiers of the repackaged instruments to investors. It may include securitisation of residential and commercial mortgages, corporate bonds, loans and other types of financial assets by selling these assets to securitisation vehicles (for example, trusts, corporate entities and limited liability entities) or through a re-securitisation.
- 3 The entity shall disaggregate the revenue from transactions by industry.
 - 3.1 The entity shall use the Global Industry Classification Standard (GICS) six-digit industry-level code for classifying transactions.
 - 3.1.1 The entity shall use the latest version of the classification system available at the date of reporting.
 - 3.1.2 The entity shall disclose the classification standard used if different from GICS.
- 4 The entity shall provide disclosure for at least the 10 largest industries by monetary amount of exposure or to industries representing at least 2% of the overall monetary amount of exposure.

FN-IB-410a.2. (1) Number and (2) total value of investments and loans incorporating integration of environmental, social and governance (ESG) factors, by industry

- 1 The entity shall report the number of proprietary investments and loans incorporating integration of environmental, social and governance (ESG) factors.

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- 2 The entity shall report the value of proprietary investments and loans incorporating integration of ESG factors.
- 3 The disclosure scope includes the entity's investing and relationship lending activities across asset classes, including debt securities and loans, public and private equity securities, infrastructure, and real estate. These activities include investing directly in publicly and privately traded securities and in loans, and also investing through some investment funds that the entity manages and through funds managed by external parties.
 - 3.1 The scope of disclosure excludes commercial, consumer and mortgage-lending activities.
- 4 Integration of ESG factors is defined as the systematic and explicit inclusion of material ESG factors into traditional fundamental financial analysis through the consideration of qualitative risks and opportunities, quantitative metrics, and the incorporation of ESG variables into models to inform the entity's decision-making processes involved in proprietary investing and lending.
- 5 The entity shall break down the number and value of investments and loans by industry.
 - 5.1 The entity shall use the Global Industry Classification Standard (GICS) six-digit industry-level code for classifying investees and borrowers.
 - 5.1.1 The entity shall use the latest version of the classification system available at the date of reporting.
 - 5.1.2 The entity shall disclose the classification standard used if different from GICS.
 - 5.2 The entity shall disclose its exposure to at least the 10 largest industries by monetary amount of exposure or to industries representing at least 2% of the overall portfolio monetary exposure.

FN-IB-410a.3. Description of approach to incorporation of environmental, social and governance (ESG) factors in investment banking and brokerage activities

- 1 The entity shall describe its approach to incorporation of environmental, social and governance (ESG) factors in its investment banking and brokerage activities.
 - 1.1 The definition of incorporation of ESG factors is aligned with that of the Global Sustainable Investment Alliance (GSIA) and includes the use of ESG information in the investment decision-making processes.
 - 1.2 Examples of ESG factors/issues are provided in the *PRI Reporting Framework—Main definitions 2018*, section 'ESG issues'.
 - 1.3 The scope of investment banking and brokerage activities may include (a) underwriting, (b) advisory, (c) securitisation, (d) investing and lending and (e) securities services.
 - 1.3.1 Underwriting is defined as activities in which the entity raises investment capital from investors on behalf of entities that are issuing either equity or debt securities. It includes public offerings and private placements, including local and cross-border

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transactions and acquisition financing of a wide range of securities and other financial instruments, including loans. Underwriting also includes derivative transactions entered into with public and private sector clients in connection with the entity's underwriting activities.

- 1.3.2 Advisory is defined as activities in which the entity provides financial advice to institutional clients on a fee basis.
 - 1.3.3 Securitisation is defined as the process through which the entity creates a financial instrument by combining other financial assets and then marketing various tiers of the repackaged instruments to investors. It may include securitisation of residential and commercial mortgages, corporate bonds, loans and other types of financial assets by selling these assets to securitisation vehicles (for example, trusts, corporate entities and limited liability entities) or through a re-securitisation.
 - 1.3.4 Investing and lending includes short-term and long-term investing and relationship lending activities across asset classes such as debt securities and loans, public and private equity securities, infrastructure, and real estate.
 - 1.3.5 Securities services include (i) financing services (for the entity's clients' securities trading activities through margin loans that are collateralised by securities), (ii) securities lending services (borrowing and lending securities to cover institutional clients' short sales, borrowing securities to cover the entity's short sales, otherwise to making deliveries into the market, broker-to-broker securities lending, and third-party agency lending activities), and (iii) other prime brokerage services (clearing and settlement services).
- 2 The entity shall describe its approach to implementation of the aspects of the entity's ESG incorporation practices.
- 2.1 The discussion shall include:
 - 2.1.1 Parties responsible for day-to-day incorporation of ESG factors
 - 2.1.2 Roles and responsibilities of employees involved
 - 2.1.3 Approach to conducting ESG-related research
 - 2.1.4 Approach to incorporating ESG factors into products and services
- 3 The entity shall describe its oversight/accountability approach to the incorporation of ESG factors.
- 3.1 The discussion shall include:
 - 3.1.1 Formal oversight individuals or bodies involved
 - 3.1.2 Roles and responsibilities of employees involved
 - 3.1.3 Criteria used in assessing the quality of ESG incorporation

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- 4 The entity shall discuss whether it conducts scenario analysis or modelling in which the risk profile of future ESG trends is calculated across its investment banking and brokerage activities.
 - 4.1 Where relevant, the entity shall disclose whether such scenario analysis is performed for specific business activities, including (a) underwriting, (b) advisory, (c) securitisation, (d) investing and lending and (e) securities services lines of business.
 - 4.2 ESG trends may include climate change, natural resource constraints, human capital risks and opportunities, and cybersecurity risks.
- 5 The entity shall discuss ESG trends that it considers apply broadly in terms of their effect on sectors and industries, as well as trends it deems as sector- or industry-specific.
 - 5.1 The entity may further provide the discussion in the context of geographical exposure of its portfolio, by line of business.
- 6 The entity shall describe significant concentrations of exposure to ESG factors, which may include carbon-related assets, water-stressed regions and cybersecurity risks.
- 7 The entity shall describe how it incorporates ESG factors in the assessment of, and the entity's perspectives on:
 - 7.1 Traditional macroeconomic factors such as the economic conditions, central bank monetary policy, industry trends and geopolitical risks that affect risk profile of clients or individual transactions
 - 7.2 Traditional microeconomic factors such as supply of and demand for products or services which affect financial conditions and operational results of clients as well as their creditworthiness
 - 7.3 Time horizon of investments and loans
 - 7.4 Risk and return profiles of investments and loans
 - 7.5 Risk profiles of (a) underwritten debt and equity securities, (b) advisory transactions (for example, mergers and acquisitions) and (c) securitised assets.
- 8 The entity may disclose additional quantitative measures related to the incorporation of ESG factors in investment banking and brokerage activities, such as:
 - 8.1 Number of investment banking and brokerage transactions screened according to Equator Principles (EP III) (or equivalent) by EP Category
 - 8.2 Number of investment banking and brokerage transactions for which a review of environmental or social risks was performed, for example, by the entity's Environmental and Social Risk Management (ESRM) group.

Volume 19—Mortgage Finance

Industry Description

The Mortgage Finance industry provides an essential public good by enabling consumers to purchase homes and contributing to the overall home ownership rate. Entities in the industry lend capital to individual and commercial customers using property as collateral. The primary products are residential and commercial mortgages, while other services offered include mortgage servicing, title insurance, closing and settlement services, and valuation. In addition, mortgage finance entities own, manage and finance real estate-related investments such as mortgage pass-through certificates and collateralised mortgage obligations. Recent trends in the regulatory environment indicate a significant shift towards consumer protection, disclosure and accountability. Regulatory changes made in response to the global 2008 financial crisis demonstrate the potential for further alignment between the interests of society and those of long-term investors.

Sustainability Disclosure Topics & Metrics

Table 1. Sustainability Disclosure Topics & Metrics

TOPIC	METRIC	CATEGORY	UNIT OF MEASURE	CODE
Environmental Risk to Mortgaged Properties	(1) Number and (2) value of mortgage loans in 100-year flood zones	Quantitative	Number, Presentation currency	FN-MF-450a.1
	(1) Total expected loss and (2) Loss Given Default (LGD) attributable to mortgage loan default and delinquency because of weather-related natural catastrophes, by geographical region	Quantitative	Presentation currency, Percentage (%)	FN-MF-450a.2
	Description of how climate change and other environmental risks are incorporated into mortgage origination and underwriting	Discussion and Analysis	n/a	FN-MF-450a.3

Table 2. Activity Metrics

ACTIVITY METRIC	CATEGORY	UNIT OF MEASURE	CODE
(1) Number and (2) value of mortgages originated by category: (a) residential and (b) commercial	Quantitative	Number, Presentation currency	FN-MF-000.A
(1) Number and (2) value of mortgages purchased by category: (a) residential and (b) commercial	Quantitative	Number, Presentation currency	FN-MF-000.B

Environmental Risk to Mortgaged Properties

Topic Summary

An increase in the frequency of extreme weather events associated with climate change may have an adverse impact on the Mortgage Finance industry. Specifically, hurricanes, floods and other climate change-related events have the potential to result in missed payments and loan defaults, while also decreasing the value of underlying assets. Entities which incorporate climate-related risks into lending analysis may be better positioned to create value over the long-term.

Metrics

FN-MF-450a.1. (1) Number and (2) value of mortgage loans in 100-year flood zones

- 1 The entity shall disclose the (1) number and (2) value of mortgage loans in the entity's portfolio underwritten on properties located in 100-year flood zones.
 - 1.1 100-year flood zones are defined as land areas subject to a 1% or greater chance of flooding in any given year. Such areas also may be referred to as being subject to the 1% annual chance flood, the 1% annual exceedance probability flood or the 100-year flood.
 - 1.1.1 Examples of 100-year flood zones may include coastal flood plains, flood plains along major rivers and areas subject to flooding from ponding in low-lying areas.
- 2 The scope of disclosure shall include all the entity's mortgage loans underwritten on properties located in 100-year flood zones, regardless of the country of their location.
 - 2.1 The scope of mortgage loans shall include those first mortgages (1–4 family) and junior lien (1–4 family second mortgages or home equity lines of credit) loans that the entity holds as loan assets.
 - 2.2 The scope of mortgage loans shall exclude mortgages held for sale, mortgage-backed securities and mortgages serviced by the entity.

FN-MF-450a.2. (1) Total expected loss and (2) Loss Given Default (LGD) attributable to mortgage loan default and delinquency because of weather-related natural catastrophes, by geographical region

- 1 The entity shall disclose the (1) total expected loss and (2) Loss Given Default (LGD), as a percentage, attributable to mortgage loan default and delinquency because of weather-related natural catastrophes.
 - 1.1 Expected loss is defined and calculated as the sum of the values of all the possible losses for the entity's mortgage loans, each multiplied by the probability of that loss occurring.
 - 1.2 LGD is defined as the share of an asset lost in the situation of default.
 - 1.3 Weather-related natural catastrophes include:
 - 1.3.1 Meteorological events (for example, hurricanes and storms)

- 1.3.2 Hydrological events (floods)
- 1.3.3 Climatological events (for example, heat waves, cold waves, droughts, and wildfires)
- 1.4 Weather-related natural catastrophes exclude geophysical events (for example, earthquakes and volcanic eruptions).
- 2 The entity shall break down its disclosure by geographical region.
 - 2.1 Applicable regions are determined by the entity.

FN-MF-450a.3. Description of how climate change and other environmental risks are incorporated into mortgage origination and underwriting

- 1 The entity shall describe how it has incorporated climate change and other environmental risks into its mortgage origination and underwriting processes.
 - 1.1 The mortgage origination process is defined broadly as all the steps in a mortgage transaction between a lender and a borrower, which may include application, processing and underwriting.
 - 1.2 The scope of climate change and other environmental risks may include:
 - 1.2.1 The increased frequency and severity of weather-related natural catastrophes, including meteorological events (for example, hurricanes and storms), hydrological events (floods) and climatological events (for example, heat waves, cold waves, droughts and wildfires)
 - 1.2.2 The occurrence of geophysical events (for example, earthquakes and volcanic eruptions)
- 2 The entity shall disclose how and if these risks affect its origination models and decisions.
 - 2.1 The scope of disclosure may include:
 - 2.1.1 How the risk impacts the valuation of collateral, such as accounting for inherent risks resulting from location or assessing for the implementation of basic adaptive measures (for example, reinforcement or hurricane shutters)
 - 2.1.2 How natural disaster risks affect credit risk analysis, including if the entity assumes that increases in natural disaster frequency and severity will increase the likelihood of default because of properties being un-insured or under-insured